Casa de Bolsa Interacciones

QUICKVIEW

Chemical Products

ALPEKA MM

Price
(MXN, as of 11/10/2016)
P$33.08

FLOAT
18%

BETA (3yr, vs Mexbol)
0.93

MARKET CAP (MXN MN)
70,069

DL VL TRADED (AV. MXN MN)
68.7

TARGET PRICE
P$35.7 / Var. TP 7.9%

BUY

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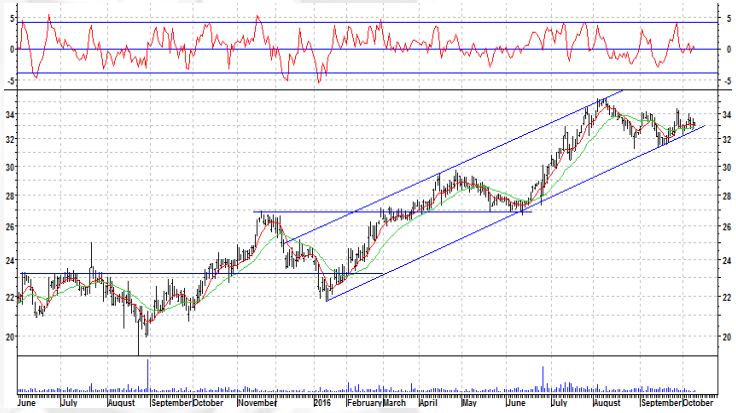
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Q316 Financial Report

We expect a report in accordance to the guidance of 2016 – We forecast sales for USD$1,204MN (-10.6% YoY) and USD$165MN in EBITDA (+6.3% YoY). Our forecast on the latter is based on a better performance in both of the business segments, which implies an expansion of the EBITDA margin by +217 bp, to 13.7%.

Inventory Write-down – During the quarter, there were lower prices in the Paraxylene contract, so we expect non-cash expenses for the inventory write-down. We expect that the sales in the Polyester segment will drop again YoY (est. -15.7%) because of lower prices of PET and PTA.

Plastics and Chemicals – We observed that the prices of commodities (PP, EPS, CPL) dropped YoY and QoQ. Besides, the spread between PP and propylene began to reduce, so we expect a lower EBITDA margin with respect to previous quarters but an expansion with respect to previous years (est. +274 bp to 24.2%).



About the acquisition in Brazil – We talk with the management about the possible acquisition of Suape and Citepe in Brazil, which resolution is expected toward the end of October. They see a great opportunity to buy with a competitive price and to expand their capacity considerably (in an more important size than Chorpus Christi). The strategy is to stop exporting PTA from Mexico to Brazil, to supply Argentina and to increase the usage level in those plants, which are relatively new (~5 years old). Also, they pretend to move the production to Europe. We think that, in case of closing the deal, this would represent an important growth opportunity.

Multiples	2015	U12M	2016E	2017E
P/E	18.6x	19.6x	15.8x	14.8x
P/BV	1.7x	1.9x	2.3x	2.3x
EV/EBITDA	6.0x	6.6x	6.9x	6.2x

Fuente: Análisis Interacciones y la emisora

	Q316e	Q315	Chg(%)
Sales	1,204	1,347	-10.6%
Operating Income	116	119	-2.6%
EBITDA	165	155	6.3%
Net Income	52	38	38.8%

	Q316e	Q315	Chg bp
Operating Mgn. (%)	9.6%	8.8%	79.6
EBITDA Mgn. (%)	13.7%	11.5%	217.2
Profit Mgn. (%)	4.3%	2.8%	154.4

Data in million of dollars unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

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AlpekA: Historic Target Price(s) & Recommendation(s)

Date of change	Aug 12, 2014	Jan 23,2015	July 21, 2015	July 12, 2016	July 19, 2017
Target Price	P$25.00	P$19.00	P$27.00	P$34.50	P$35.70
Recommendation	2	2	1	1	1

** Recommendations: 1=Buy, 2=Hold, 3=Sell*